

Private Banking Sales Pitch: Decarbonisation and Net-Zero Portfolio Strategy

A disciplined allocation approach for climate-aware investors

As your private banking team, our objective is to help you align your portfolio with the energy transition while keeping the investment process financially disciplined. For long-term investors, decarbonisation is not only a sustainability preference: it is also a way to manage transition risk, regulatory pressure, reputational risk, and the possibility that capital markets increasingly penalise carbon-intensive business models.

Our approach is deliberately practical. We do not simply exclude every high-emission company from the start. Instead, we first build a clean and investable universe using data-quality screens. Then, we use portfolio optimisation to reduce carbon exposure at portfolio level while controlling financial risk. In simple terms, the strategy asks the optimiser to keep the portfolio close to a traditional value-weighted benchmark, but only among portfolios that satisfy a carbon-footprint constraint. This avoids turning the portfolio into an uncontrolled thematic bet.

The evidence from our backtest is encouraging. Our benchmark-relative decarbonisation strategy reduces carbon footprint by **50%** while keeping tracking error at only **3.14%**. This means that the portfolio can become meaningfully cleaner while remaining relatively close to the benchmark in terms of return behaviour. The Net-Zero version, which follows a progressive annual carbon-reduction path, also remains financially competitive, with an annualised return of **8.90%** over the sample period.

For a private banking client, the main advantage is that the strategy combines climate ambition with portfolio control. The portfolio is not managed only to look greener; it is managed with clear investment constraints: long-only weights, annual rebalancing, tracking-error control, and risk estimation based on historical covariance. This shows that decarbonisation can be integrated into a professional asset allocation process rather than treated as a separate overlay.

There are, of course, trade-offs. A stricter carbon target may create sector tilts, especially away from carbon-intensive industries, and can reduce diversification if the constraint becomes too tight. Carbon data can also be imperfect because emissions, revenues, and market capitalisation are not always available with the same quality across firms. We manage these risks through annual re-estimation of the universe, data-quality screening, feasibility checks on the carbon constraint, and benchmark-relative optimisation to avoid excessive active positions.

Our recommendation is therefore to implement a progressive Net-Zero allocation for clients who want a credible climate transition strategy without abandoning financial discipline. The objective is not to promise that sustainability is costless. The objective is to make the cost measurable and controlled: lower carbon exposure, limited benchmark deviation, and a transparent investment process that can be monitored year after year.